

3.5.4 The elements of the marketing mix: price, product, promotion and place (4Ps)

Content	Additional information
Pricing methods, including: • price skimming • price penetration • competitive pricing • loss leader • cost-plus.	Students should have an understanding of the main features of pricing methods and the impact they will have on a business.
The factors that influence pricing decisions, including: • costs • nature of the market • degree of competition • product life cycle.	Students should be able to recognise the factors, internal and external, which might influence the pricing decision, particularly as businesses grow and expand. They should be able to evaluate the factors and use them to assess the suitability of pricing methods for a given business. Students should have an understanding of the basic relationship between price and demand ie as prices rise demand is likely to fall.
Product	Students should understand the benefits and risks of developing new products. Students should understand the importance of product design, image and the needs of the target market when designing new products.
Product differentiation: • unique selling point (USP) • brand image.	Students should appreciate the significance of having a USP in a competitive market and the importance of a good brand image.

Content	Additional information
The product life cycle: • research and development • introduction • growth • maturity • decline • extension strategies: • updating packaging • adding more or different features • changing target market • advertising • price reduction.	Students should have an understanding of the product life cycle and demonstrate how demand for a product or service might change over time. Students should be able to evaluate the effectiveness of extension strategies and when they would be suitable.
Product portfolio	Students should understand how and why businesses might broaden and balance their product portfolio using the Boston Matrix. Students should be able to identify and explain the four categories of the Boston Box.

Content	Additional information
Promotional methods: • advertising, including: • newspapers • magazines • television • internet • billboards. • PR • sales promotion • point of sales displays • 2 for 1 offers • free gifts • samples • coupons • competitions. • sponsorship • social media. Factors influencing the selection of the promotional mix: • finance available • competitor actions • the nature of the product or service • the nature of the market • target market. Reasons for promotion: • inform/remind customers about the product • create or increase sales • create or change the image of the product • persuade customers to buy the product.	Students should be familiar with the promotional methods which are likely to be used by a given business. Students should appreciate the benefits and drawbacks of promotional methods used by businesses. Students should be able to analyse factors influencing the selection of the promotion mix to assess their suitability for a given business.
Place (the different channels of distribution used by businesses): • retailers • wholesalers • telesales.	Students should be familiar with the different channels of distribution used by businesses to gain access to potential customers. Students should be able to analyse the appropriateness of each distribution method for a given scenario.

Content	Additional information
E-commerce and m-commerce	Students should be able to analyse the growing importance of e-commerce and m-commerce and how it can extend the reach of businesses to include international markets. Students should be able to identify the benefits and drawbacks of a business using e-commerce and m-commerce.
• Integrated nature of the marketing mix • Using the marketing mix to inform and implement business decisions	Students should be aware of the importance of the four elements and how they work together. Students should be able to recommend appropriate marketing activities for a given business. Students should be able to recognise how the marketing mix evolves over time and evaluate how businesses may react to this.